EXECUTIVE SUMMARY

1. Introduction

Peñablanca is one of the 20 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with twenty four barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values district only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered for the poor of Peñablanca.

The audit covered the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2014, the financial information of the municipality is presented below:

Particulars	2014	2013	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	235,057,726.99	218,620,395.43	16,437,331.56	7.52%
Liabilities	10,707,298.31	12,687,395.06	(1,980,096.75)	15.61%
Government Equity	224,350,428.68	205,933,000.37	18,417,428.31	8.94%
Result of Operations				
Income	186,488,805.85	165,029,450.20	21,468355.65	13%
Expenses	153,022,273.85	146,653,027.88	6,369,245.97	4.34%

Total Appropriation	189,581,784.02	187,517,202.32	2,141,960.49	1.14%
Total Obligations	185,659,162.81	173,139,857.58	12,519,305.23	7.23%
Comparative Statements of Funds Received from NGAs, LGUs, NGOs, & POs				
Nat'l Gov't Offices		2,303,486.00		
Local Gov't Units		0		
Comparative Statements of Funds transferred to NGAs, LGUs, NGOs, & POs				
Local Gov't Units		0		

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the financial statements due to the effect on the non-preparation of bank reconciliation statements for CY 2014 rendering the Cash in Bank account balances of ₱9,085,701.61 unreliable; Property, Plant and Equipment of ₱216,347,262.66 is doubtful due to non-preparation and non-submission of the Report on the Physical Count of PPE; and Real Property Tax (RPT) and Special Education Tax (SET) Receivables balances amounting to ₱2,296,056.29 and ₱2,296,056.29**,** respectively, were doubtful due to non-setting up the total RPT and SET due and collectible at the beginning of the year.

4. Summary of Significant Observations and Recommendations

1. **Several disbursement vouchers covering reimbursement of various expenses made by the Chief Local Executive totaling ₱24,902,916.80 were not supported with required documentation because the Municipal Accountant signed/certified the disbursement vouchers even though the supporting documents are not complete.**

   Likewise, the Bureau of the Internal Revenue was deprived of the taxes due from the procurement of goods and services made through reimbursement.

   We recommend that management instruct the accountant to submit immediately the lacking documents/information and/or explanation to support the various reimbursements, otherwise the transactions will be suspended or disallowed in audit.

   The accountant should ensure that all supporting documents of the disbursement vouchers are complete before signing the disbursement vouchers to ensure completeness of required documents and also stop the practice of paying through reimbursement basis pursuant to Section 93 of PD 1445.

Likewise, management should adhere strictly with the provision of RA 9184 in the conduct of public bidding on the procurement of goods and services valuing more than ₱100,000.00.

2. **Twenty checks were issued and recorded in the books totaling ₱5,708,778.00 even without duly approved disbursement vouchers and supporting documents because the Municipal Treasurer and Municipal Accountant failed to require the duly approved disbursement vouchers before preparing/issuing checks and recording in the books, respectively.**

   We recommend that management require the Municipal Accountant and Municipal Treasurer to submit immediately the duly approved disbursement vouchers and supporting documents corresponding to the 20 checks issued in the total amount of ₱5,708,778.00, otherwise the transactions will be suspended or disallowed in audit.

   The Municipal Accountant and Municipal Treasurer are likewise required to ensure that all disbursements and claims are supported with duly approved disbursement vouchers before checks are prepared/issued and recorded in the books.

3. **Liquidation of cash advances for travels in the total amount of ₱4,534,026.00 were recorded in the books as liquidated by the Municipal Accountant despite the absence of liquidation reports and supporting documents.**

   We recommend that management instruct the accountant to cause the immediate submission of the liquidation reports/documents to support the recorded settlement in the books in the total amount of ₱4,534,026.00 otherwise the amount reported as liquidated will be suspended/disallowed in audit.

4. **Daily collections of Revenue Collection Officers were not turned over intact at the close of business day due to laxity of the Municipal Treasurer/Liquidating Officer in monitoring strictly the daily turnover of collections.**

   We recommend that management instruct Revenue Collection Officers to turn over all their collections intact at the end of every business day to the Municipal Treasurer/Liquidating Officer. Failure of concern Revenue Collection Officers to do so may be a ground for relieving them of their duties and responsibilities as collectors of taxes and other income for the municipality.

5. **The lot acquired by the municipality thru sale amounting to ₱14.4M containing an area of 8,368 square meters to be used for the future site of**

the public market was not yet titled because of the delay in the processing of the documents need for the titling.

We recommend management prioritize the transfer and titling of the subject lot to establish absolute ownership thereof and to avoid future litigations. Likewise, we recommend that no construction or major improvements be undertaken until the lot is absolutely owned by the municipality.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2014:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	312,634.00	0.00	0.00	312,634.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	312,634.00	0	0	312,634.00	0.00
Disallowances					
Prior Years	295,251.72	0.00	0.00	295,251.72	0.00
Current Year	0	0.00	0.00	0.00	0.00
Total	295,251.72	0.00	0.00	295,251.72	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the 10 audit recommendations embodied in the 2013 Annual Audit Report, two were fully implemented, four were partially implemented and four were not implemented.